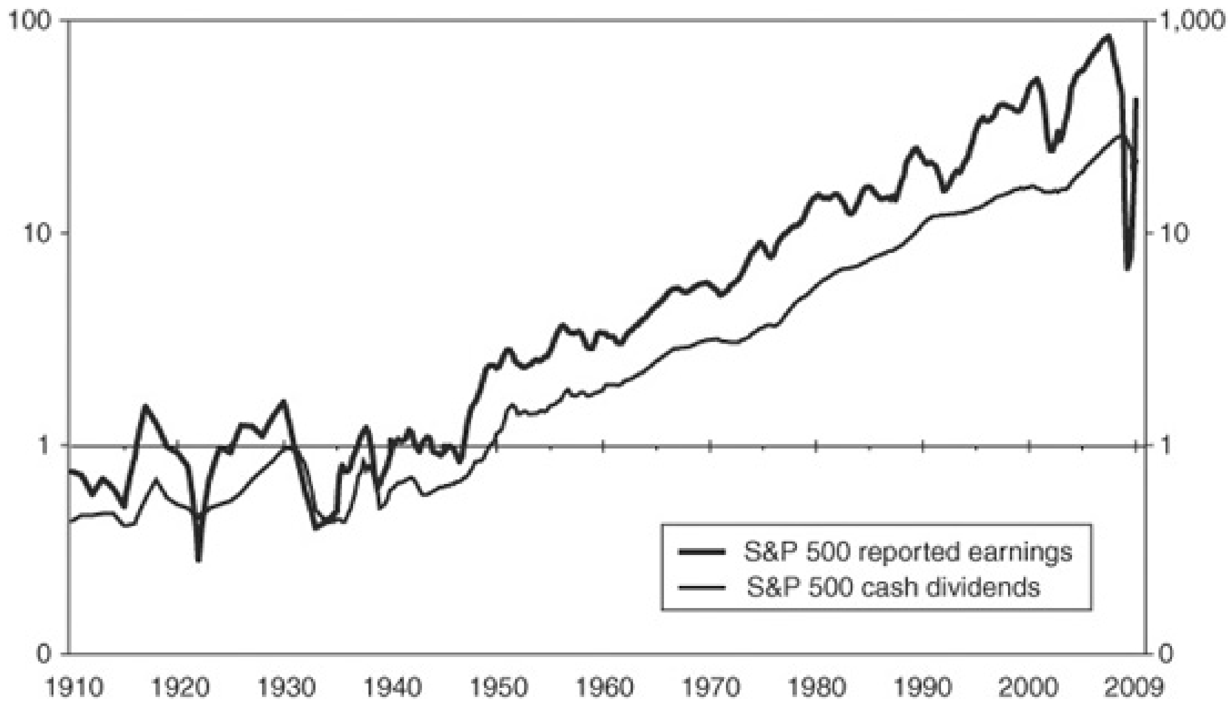
payouts should grow in line with earnings growth. Figure 11-9 represents the S&P 500 earnings and dividend growth since 1950.

FIGURE 11-9

S&P 500 Earnings and Dividend



A common measure of stock value is the price/earnings ratio, more commonly referred to as the P/E ratio. Many investors track the market P/E ratio in an attempt to determine when stocks are cheap and when they are expensive. Figure 11-10 illustrates the P/E ratio from 1950 to 2009 using a 10-year earnings average from Professor Robert Shiller's database that is available to be public at www.econ.yale.edu/~shiller/data.htm. There have been several periods when the ratio was high, although none quite match the speculative premium on stocks that existed in the late 1990s.

There are a couple of items that P/E ratio watchers should consider:

1. P/E multiples increase or decrease with changes in the inflation rate. If inflation increases, the present value of future earnings diminishes, and that causes the stock market to go down and the P/E ratio to go down. A decrease in inflation causes higher stock prices because of the increase in the purchasing power of future earnings. The effect of inflation on stock valuation is clearly evident in Figure 11-9.